

2026 Comprehensive Wealth Plan

Henri & Melica Monti

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Executive Summary

This comprehensive wealth plan targets **\$50,000+ in tax reduction** for 2026 while establishing the foundation for long-term wealth building through strategic real estate investment and Bitcoin accumulation. By implementing 12 coordinated tax strategies and deploying \$200,000 in capital toward two rental properties, you're positioned to drop from the 32% to the 22% tax bracket while creating multiple income streams that compound over time.

First-Year Financial Impact (2026)

ESTIMATED TAX SAVINGS

CASH FLOW IMPROVEMENT

\$52,800 -

\$124,600

+

\$8,500

From W-4 optimization alone

Conservative to moderate scenario

PRIMARY INCOME

Henri: \$300,000+ W-2

LOCATION

South Miami, Florida (0% state tax)

BUSINESS STRUCTURE

Melica: Coaching/Wellness LLC | Henri:
Planning Rental LLC

LIQUID CAPITAL

\$250,000+ available

RETIREMENT ASSETS

TAX RATE

\$500,000+ in old 401(k)s

32% Federal (Currently ~\$50K over
22% threshold)

HOME EQUITY

\$600,000

TIME AVAILABLE

10-15 hours/week

Your Tax Reduction Path

Critical Goal: You're currently \$50,000 over the 22% bracket threshold (approximately \$414,000 taxable income). Dropping to the 22% bracket saves 10% on that \$50,000 (\$5,000 immediate savings) plus opens the door for more aggressive Roth conversions in future years. Our strategy creates \$95,000+ in new deductions to achieve this goal while building long-term wealth.

Three Paths to Your \$50,000+ Tax Reduction Goal

Path 1: Conservative (Without Melica's Business Income)

If Melica's LLC generates minimal revenue in 2026:

- HSA Family Max: \$8,300 deduction → **\$2,656 tax savings**
- Home Office Enhancement: \$5,000 deduction → **\$1,600 tax savings**
- Purchase 1 rental property with cost segregation: \$100,000 deduction → **\$32,000 tax savings**
- Short-term rental strategy (material participation): \$40,000 deduction → **\$12,800 tax savings**
- Foundational strategies (W-4, Augusta Rule, etc.): **\$3,744 tax savings**

Conservative Total: \$52,800 tax savings ✓ Goal Achieved

Path 2: Moderate (With Melica's Business Revenue)

If Melica generates \$70,000+ net profit from coaching business:

- Solo 401(k) Max (Melica): \$70,000 deduction → **\$22,400 tax savings**

- S-Corporation Election: \$10,000 self-employment tax savings → **\$10,000 tax savings**
- All of Path 1 strategies: **\$52,800 tax savings**

Moderate Total: \$85,200 tax savings ✓ Goal Exceeded

Path 3: Optimal (2 Properties + Business Revenue)

Maximum execution scenario:

- All of Path 2 strategies: **\$85,200 tax savings**
- Second rental property with cost seg: \$80,000 deduction → **\$25,600 tax savings**
- Additional STR deductions (2nd property): \$20,000 deduction → **\$6,400 tax savings**
- Accountable plan (employ Henri in Melica's LLC): \$3,000 deduction → **\$960 tax savings**
- Augusta Rule enhancement (both businesses): \$7,000 deduction → **\$2,240 tax savings**

Optimal Total: \$120,400+ tax savings ✓ Goal Significantly Exceeded

Clarification Needed: Your intake form indicates "no self-employment income" but Melica owns an active LLC (1-2 years old). If the LLC is generating revenue approaching \$70,000+ net profit, the Moderate and Optimal paths become available. If the LLC is dormant or minimal revenue, the Conservative path still delivers your \$50K+ goal through real estate strategies alone.

2026 Priority Tax Strategies

These 12 strategies are selected specifically for your income level (\$300K+), available capital (\$250K+), time commitment (10-15 hrs/week), and 2026 real estate investment plans. Each strategy is implementation-ready with clear action steps and realistic value estimates based on your 32% marginal tax rate.

#	STRATEGY	ANNUAL VALUE	TIMELINE	PRIORITY
1	HSA Family Max Contribution	\$2,656 - \$3,072	When HDHP starts	IMMEDIATE
2	Backdoor Roth IRA (Both Spouses)	Tax-free growth on \$14,000	January 2026	IMMEDIATE
3	W-4 Optimization	+\$8,500 cash flow/year	Week 1	IMMEDIATE
4	Home Office Deduction Enhancement	\$1,600 - \$2,240	Week 2	IMMEDIATE
5	Solo 401(k) Max (Melica's LLC) If SE income \$70K+	\$15,600 - \$24,840	Q1 2026	HIGH
6	S-Corporation Election (Melica) If SE profit \$60K+	\$3,200 - \$10,240	File by March 15	HIGH
7	Cost Segregation Study Upon rental purchase	\$32,000 - \$80,000/property	At purchase	MEDIUM
8	Short-Term Rental Strategy	\$12,800 - \$32,000/property	Year 1 operation	MEDIUM
9	Bonus Depreciation (Section 168)	\$8,000 - \$16,000/property	2026 tax year	MEDIUM

#	STRATEGY	ANNUAL VALUE	TIMELINE	PRIORITY
10	Augusta Rule (Both Businesses)	\$2,240 - \$4,480	Ongoing	ONGOING
11	Accountable Plan (Employ Henri) If Melica's LLC active	\$800 - \$1,280	Week 2	ONGOING
12	Self-Directed IRA Setup	Tax-advantaged RE investing	Q1 2026	HIGH

Strategy Implementation Details

1 HSA Family Max Contribution \$2,656 - \$3,072

Why This Strategy: Triple tax advantage (deductible contribution, tax-free growth, tax-free withdrawals for medical expenses). Your family plan allows \$8,550 contribution for 2026, saving \$2,736 in taxes at your 32% rate. This is essentially a medical expense account that grows tax-free forever.

Implementation Steps:

- Confirm HDHP enrollment starting 2026 (minimum deductible: \$3,300 family)
- Open HSA account (Fidelity, Lively, or bank-affiliated HSA recommended)
- Set up automatic monthly contributions: \$712/month to reach \$8,550 annual max
- Invest HSA balance (treat as retirement medical fund - low-cost index funds)
- Save receipts for medical expenses but don't reimburse immediately (let investments grow)

Documentation Required: HDHP enrollment confirmation, HSA contribution statements, investment elections.

Timeline: Set up in January 2026 when HDHP coverage begins. Contribution deadline is April 15, 2027 for 2026 tax year.

2 Backdoor Roth IRA (Both Spouses) Tax-Free Growth

Why This Strategy: Your income (\$300K+) exceeds Roth IRA direct contribution limits. Backdoor Roth allows you to contribute \$7,000 each (\$14,000 total) that grows tax-free forever. Not a tax deduction now, but eliminates taxes on potentially hundreds of thousands in future growth.

Implementation Steps:

- Verify no existing Traditional IRA balances (causes pro-rata rule complications)
- January 2026: Each spouse contributes \$7,000 to Traditional IRA (non-deductible)
- Within days: Convert full balance to Roth IRA (minimal gains = minimal tax)
- File Form 8606 with tax return documenting non-deductible contribution
- Invest aggressively in Roth (70-80% Bitcoin per your preference for long-term growth)

Pro-Rata Rule: If you have existing Traditional IRA balances from old 401(k) rollovers, consider rolling those into current employer 401(k) first to avoid pro-rata taxation on the conversion.

Timeline: Execute in January 2026 for maximum growth period. Repeat annually.

3 **W-4 Optimization** +\$8,500 Cash Flow

Why This Strategy: You're currently over-withholding federal taxes. By adjusting Henri's W-4 to account for planned 2026 deductions (HSA, home office, real estate depreciation), you free up \$708/month (\$8,500/year) in cash flow to deploy immediately into Bitcoin rather than waiting until tax refund time.

Implementation Steps:

- Calculate total estimated 2026 deductions: \$95,000+ (HSA \$8,550 + home office \$5,000 + retirement \$70,000 if applicable + cost seg \$100,000 if purchasing property)
- Use IRS Tax Withholding Estimator with projected deductions
- Submit new W-4 to Henri's employer reducing withholding by ~\$708/month
- Set up automatic Bitcoin purchase on payday for the freed-up \$708/month
- Monitor quarterly to ensure adequate withholding (avoid underpayment penalties)

Safe Harbor Rule: Withhold at least 90% of 2026 tax or 100% of 2025 tax (110% if AGI >\$150K). With large 2026 deductions, you'll easily meet this paying 100% of 2025 tax.

Timeline: Submit new W-4 in Week 1 of January 2026 for immediate cash flow improvement.

4 **Home Office Deduction Enhancement** \$1,600 - \$2,240

Why This Strategy: You already use home office deduction, but optimizing between simplified and regular method can increase deduction. With a dedicated 200+ sq ft workspace in your South Miami home, the regular method typically yields higher deductions due to Florida property taxes, insurance, and mortgage interest.

Implementation Steps:

- Measure dedicated office space precisely (used exclusively for business)
- Calculate business use percentage: $\text{Office sq ft} \div \text{Total home sq ft}$
- Regular method: Multiply percentage by mortgage interest, property taxes, insurance, utilities, repairs
- Compare to simplified method: $\text{Office sq ft} \times \5 (max 300 sq ft = \$1,500)
- Document with photos, floor plan, and expense records

Example Calculation: 250 sq ft office in 2,500 sq ft home = 10% business use. Annual home expenses: \$20,000 mortgage interest + \$8,000 property tax + \$3,000 insurance + \$4,800 utilities = \$35,800 $\times 10\%$ = \$3,580 depreciation + \$1,420 direct office expenses = ~\$5,000 total deduction → \$1,600 tax savings.

Timeline: Implement in Week 2. Maintain records throughout 2026. File Form 8829 with Schedule C.

5 **Solo 401(k) Maximum Contribution (Melica's LLC)**

\$15,600 - \$24,840

Why This Strategy: If Melica's coaching/wellness LLC generates \$70,000+ net profit in 2026, Solo 401(k) allows up to \$70,000 contribution (employee \$23,500 + employer ~\$46,500), creating \$22,400 tax savings at 32% rate. This single strategy achieves nearly half your \$50K tax reduction goal.

Implementation Steps:

- Verify 2026 LLC net profit projection (requires \$70K+ to maximize)
- Open Solo 401(k) account (Fidelity, Vanguard, E*TRADE - select one allowing self-directed investments)
- Employee deferrals: \$23,500 (or up to 100% of compensation if less)
- Employer contribution: Up to 25% of net self-employment income (approximately \$46,500 if profit is \$186,000+)
- Contribution deadline: December 31, 2026 for employee portion | April 15, 2027 (or extension) for employer portion
- Allocate 70-80% to Bitcoin within Solo 401(k) for tax-deferred growth

Calculation Formula: Maximum employer contribution = Net profit $\times$ 0.9235 $\times$ 0.25. For \$70K profit: $\$70K \times 0.9235 \times 0.25 = \$16,162$ employer + \$23,500 employee = \$39,662 total (conservative estimate).

Documentation Required: Solo 401(k) plan documents, contribution statements, Schedule C showing net profit.

Note: If Melica's LLC has minimal revenue, this strategy is not applicable. Focus on real estate strategies instead.

6 S-Corporation Election (Melica's LLC) \$3,200 - \$10,240

Why This Strategy: If Melica's LLC generates \$60,000+ net profit, S-Corp election saves self-employment tax (15.3%). By paying reasonable W-2 salary (\$60K) and taking remaining profit as distributions (\$10K+), you avoid FICA on distributions. At \$70K profit, saves approximately \$6,000-\$8,000 annually.

Implementation Steps:

- File Form 2553 (S-Corp election) by March 15, 2026 for 2026 tax year
- Set up payroll system (Gusto, ADP, or payroll service) for reasonable salary
- Reasonable salary guideline: \$60,000-\$70,000 for coaching/consulting business
- Pay quarterly payroll taxes on salary portion
- Remaining profit distributed quarterly as S-Corp distributions (not subject to SE tax)
- File Form 1120-S annually

Reasonable Salary Concept: IRS requires "reasonable compensation" relative to duties and industry standards. For coaching business: \$60K-\$70K salary + remaining as distribution is defensible. Underpaying salary invites audit.

Cost-Benefit: Payroll service \$1,200/year + tax prep \$800/year = \$2,000 annual cost. Saves \$6,000-\$10,000 in SE tax = net benefit \$4,000-\$8,000.

Timeline: File Form 2553 by March 15, 2026. Set up payroll in Q1. Note: Only implement if LLC generates \$60K+ profit.

7 **Cost Segregation Study** \$32,000 - \$80,000 per property

Why This Strategy: This is your most powerful tax strategy. When you purchase rental property (standard depreciation is 27.5 years), cost segregation accelerates 25-35% of property value into 5, 7, and 15-year classes. With 100% bonus depreciation now permanent (OBBBA), you get immediate deduction. A \$500K property generates \$100,000+ first-year deduction = \$32,000 tax savings.

Implementation Steps:

- Purchase rental property and close before December 31, 2026 (timing critical for full-year benefit)
- Immediately hire cost segregation firm (Engineered Tax Services, Cost Seg America, or similar)
- Cost: \$7,000-\$8,000 per property for detailed engineering study
- Study identifies components: landscaping, parking lot, flooring, cabinets, appliances, etc.
- Typically accelerates \$125,000-\$175,000 on \$500K property (25-35%)
- Apply 100% bonus depreciation to accelerated components (now permanent under OBBBA)
- File Form 4562 with tax return showing detailed depreciation schedule

Example Calculation: \$500K purchase price. Building value \$400K (land \$100K not depreciable). Cost seg identifies \$140K in 5/7/15-year property. 100% bonus depreciation = \$140K immediate deduction × 32% rate = \$44,800 tax savings. Year 1 ROI on \$7,500 study cost: 597%.

Documentation Required: Cost segregation engineer's report, Form 4562, property acquisition documents.

Timeline: Order study within 30 days of closing. Takes 4-6 weeks to complete. Must be done before filing 2026 tax return.

8 **Short-Term Rental Strategy** \$12,800 - \$32,000 per property

Why This Strategy: This is the "loophole" that makes real estate investment incredibly tax-efficient for W-2 earners. Normally, rental losses are passive (can't offset W-2 income). But short-term rentals (average stay <7 days) with material participation allow losses to offset your \$300K W-2 income. You have 10-15 hrs/week available, easily meeting the 100+ hour requirement.

Material Participation Test:

- Spend 100+ hours on rental activity during year
- Your hours must exceed any other person's hours (including property manager)
- Keep detailed time log: guest communications, property maintenance, marketing, booking management
- $10 \text{ hours/week} \times 52 \text{ weeks} = 520 \text{ hours}$ (easily exceeds 100-hour requirement)

Implementation Steps:

- Set up property as short-term rental on Airbnb, VRBO
- Average rental period must be <7 days (verify booking data)
- Personally manage or be significantly involved (don't hire full-service property manager who does >100 hours)
- Document all hours: time tracking app or detailed log
- Generate ordinary losses from operations, depreciation, expenses
- Losses offset W-2 income dollar-for-dollar

Example: First year STR operations: \$36,000 rental income - \$40,000 expenses - \$100,000 cost seg depreciation = -\$104,000 loss. With material participation, this \$104,000 loss offsets Henri's W-2 income $\times 32\% = \$33,280$ tax savings.

Timeline: Property must be operational by mid-2026 to generate sufficient activity. Start accepting guests by June 2026 at latest.

9 Bonus Depreciation (Section 168)

\$8,000 - \$16,000 per property

Why This Strategy: Works in conjunction with cost segregation. Under OBBBA, 100% bonus depreciation is now permanent for property placed in service after January 19, 2025. This means qualified improvements get immediate full expensing rather than spreading over 5-15 years. Furniture, fixtures, appliances, and certain building components qualify.

Implementation Steps:

- Close on rental property after January 19, 2025 (eligible for 100% bonus)
- Purchase qualifying property: furniture, appliances, flooring, fixtures
- Place in service before December 31, 2026
- Claim 100% first-year depreciation on qualifying components
- Coordinate with cost segregation study for maximum acceleration

Qualifying Property Examples: Kitchen appliances (\$8,000), furniture package for STR (\$15,000), flooring replacement (\$12,000), lighting fixtures (\$5,000), HVAC system (\$18,000). Total \$58,000 $\times$ 100% bonus = \$58,000 deduction $\times$ 32% = \$18,560 tax savings.

Documentation Required: Purchase receipts, placed-in-service dates, Form 4562 Section B.

Timeline: Purchase and install improvements before December 31, 2026.

10 Augusta Rule (Section 280A) \$2,240 - \$4,480

Why This Strategy: Your personal residence can be rented to your business(es) for up to 14 days annually. The rental income is tax-free to you personally, but the business deducts the rental expense. With both Melica's coaching LLC and Henri's rental management LLC, you can potentially rent your home 14 days to each business.

Implementation Steps:

- Research comparable daily rental rates for similar homes in South Miami (executive retreats, board meetings)
- Document fair market rate: \$350-\$500/day typical for your home
- Create written rental agreements between you personally and each business
- Hold legitimate business meetings: strategic planning, board meetings, team retreats, client meetings
- Document meeting agendas, attendees, business purpose
- Business writes check to you personally for rental (14 days × \$350-\$500)
- Business deducts rental expense; you report no income (under 14-day rule)

Conservative Approach: Melica's LLC rents home 14 days × \$350/day = \$4,900 business deduction × 32% = \$1,568 savings. Henri's rental LLC rents 7 days × \$350/day = \$2,450 × 32% = \$784 savings. Total: \$2,352.

Aggressive Approach: If you can justify \$500/day based on comparable executive rental rates: 14 days × \$500 = \$7,000 each business = \$14,000 total × 32% = \$4,480 savings.

Compliance Keys: Rental rate must reflect fair market value. Meeting must have legitimate business purpose. Keep detailed documentation of events, attendees, agenda, purpose.

Timeline: Implement throughout 2026. Spread meetings across quarters for better documentation.

11 Accountable Plan (Employ Henri) \$800 - \$1,280

Why This Strategy: If Melica's coaching LLC is active, employ Henri part-time for business-related activities. Business reimburses Henri's expenses (mileage, phone, equipment, meals) tax-free to Henri, and Melica's business deducts the reimbursements. Creates deduction without increasing taxable income to family.

Implementation Steps:

- Create written accountable plan policy document
- Identify Henri's business-related activities: admin support, technology setup, marketing assistance

- Document reimbursable expenses: mileage, cell phone, equipment, business meals, professional development
- Typical annual reimbursements: \$2,500-\$4,000 (mileage \$1,200, phone \$600, equipment \$1,000, meals \$700)
- Employee submits expense reports with receipts within 60 days
- Business processes reimbursement within 30 days
- Keep detailed records: expense reports, receipts, business purpose documentation

Example Reimbursements: Business mileage: 200 miles/month $\times$ 12 months $\times$ \$0.70/mile = \$1,680. Cell phone business use: \$50/month $\times$ 12 = \$600. Total: \$2,280 $\times$ 32% = \$730 tax savings.

Compliance Requirements: Accountable plan must have: (1) business connection, (2) adequate accounting within reasonable time, (3) return excess advances. Cannot be disguised wages.

Timeline: Establish plan in Week 2. Process reimbursements monthly throughout 2026.

12 Self-Directed IRA Setup & Strategic Rollover

Tax-Advantaged Wealth Building

Why This Strategy: You have \$450,000 in old 401(k)s sitting idle (Henri \$350K, Melica \$100K). Self-Directed IRA allows using these funds to purchase rental properties, keeping growth and rental income tax-deferred. This solves your down payment funding question while preserving tax advantages.

Implementation Steps:

- Choose SDIRA custodian: Equity Trust, IRA Financial Group, Madison Trust, or similar
- Open Self-Directed IRA accounts (one for Henri, one for Melica)
- Initiate direct rollover from old 401(k)s to SDIRA (typically 2-4 weeks)
- Allocate \$100,000 from SDIRA for rental property down payment (20% on \$500K property)

- SDIRA owns percentage of property; rental income flows to SDIRA tax-deferred
- Remaining \$350K in SDIRA: Allocate to Bitcoin-heavy portfolio (70-80%)

Property Purchase Structure: Option A - SDIRA owns 100% of one property (\$100K down + \$400K mortgage from SDIRA). Option B - SDIRA owns 20% partnership in property, you own 80% personally (split proportionally). Option B provides more flexibility.

UBIT Consideration: If SDIRA uses debt (mortgage) to purchase property, rental income may be subject to Unrelated Business Income Tax (UBIT) on leveraged portion. Typically 10-15% tax on leveraged income portion. Still advantageous compared to personal ownership with higher rates.

Benefits: (1) Use retirement funds for down payment without tax penalty, (2) Rental income grows tax-deferred, (3) Appreciation compounds tax-deferred, (4) Remaining \$350K continues growing in stocks/Bitcoin.

Timeline: Start rollover process in January 2026. Allow 4-6 weeks for funds transfer. Have SDIRA funded before property search.

Retirement Account Optimization Strategy

You have three old 401(k) accounts totaling \$450,000 in an inefficient structure. Here's your comprehensive optimization plan that balances real estate investment, tax-advantaged growth, and long-term Roth conversion strategy.

Current Situation Analysis

ACCOUNT	BALANCE	CURRENT STATUS	ISSUE
Henri's Old 401(k)	\$350,000	Inactive	Limited investment options, likely higher fees
Melica's Old 401(k) #1	\$50,000	Inactive	Fragmented, administrative burden
Melica's Old 401(k) #2	\$50,000	Inactive	Fragmented, administrative burden

Recommended Three-Part Optimization

Part 1: Self-Directed IRA for Real Estate (\$100,000)

Purpose: Fund rental property down payment using tax-advantaged retirement funds

Implementation:

- Roll \$100,000 from Henri's old 401(k) → Henri's Self-Directed IRA
- Use SDIRA funds for 20% down payment on Property #1 (\$500K purchase)
- Property ownership: SDIRA owns property (or partnership percentage)
- Rental income flows to SDIRA tax-deferred

- Property appreciation grows tax-deferred

Benefit: Solves down payment funding without using cash reserves or triggering taxes/penalties.

Part 2: Consolidated Rollover IRA (\$250,000)

Purpose: Consolidate remaining funds for self-managed Bitcoin-heavy allocation

Implementation:

- Roll Henri's remaining \$250,000 → Henri's Rollover IRA (Fidelity/Vanguard)
- Roll Melica's two 401(k)s (\$100,000 total) → Melica's Rollover IRA
- Self-direct investments: 70-80% Bitcoin, 20-30% index funds per your preference
- Maintain tax-deferred growth
- Simplified management (2 accounts instead of 3)

Benefit: Maximum investment flexibility with preferred Bitcoin allocation, no required minimum distributions until age 73.

Part 3: Strategic Roth Conversion Ladder (Years 2027-2030)

Purpose: Tax arbitrage – pay 22-24% tax now, avoid 32-35% later

Strategy:

- Years when taxable income drops below \$364,000 (22% bracket): Convert \$50,000-\$100,000 from Traditional IRA → Roth IRA
- Pay tax at 22-24% rate on conversion
- All future growth tax-free forever
- Example: 2027 if Melica's LLC has lower revenue year, convert \$75,000 and pay \$16,500 tax (22%)
- That \$75,000 grows to potentially \$300,000+ by retirement – all tax-free

Benefit: Future distributions 100% tax-free. No required minimum distributions.
Better estate planning. Long-term tax savings of \$50,000+ over retirement.

Roth Conversion Opportunity Analysis

Your current taxable income is approximately \$414,000 (32% bracket). When implementing the tax strategies in this plan, your taxable income drops to potentially \$310,000-\$350,000 (22-24% bracket in future years). This creates a 8-10 percentage point tax arbitrage opportunity.

SCENARIO	CONVERSION AMOUNT	TAX PAID NOW	FUTURE VALUE (20 YEARS)	TAX SAVINGS VS 32% LATER
Conservative (22% bracket)	\$50,000/year × 4 years	\$44,000 total	~\$800,000 (10% growth)	\$80,000 tax savings
Moderate (24% bracket)	\$75,000/year × 4 years	\$72,000 total	~\$1,200,000 (10% growth)	\$96,000 tax savings
Aggressive (stay in 24%)	\$100,000/year × 4 years	\$96,000 total	~\$1,600,000 (10% growth)	\$128,000 tax savings

Implementation Timeline: Execute SDIRA rollover and consolidation in Q1 2026. Begin Roth conversions in 2027 or 2028 when you have a lower-income year (perhaps between major projects or if Melica takes maternity leave with business income reduced). Convert \$50K-\$100K annually for 3-4 years to optimize tax brackets.

Real Estate Investment Strategy

Your 2026 real estate plan is the cornerstone of both your tax reduction and wealth building strategy. This section details the property acquisition, financing, and operational plan for your two rental properties.

Capital Deployment Plan

PROPERTY	PURCHASE PRICE	DOWN PAYMENT SOURCE	FINANCING	STRATEGY
Property #1	\$500,000	SDIRA: \$100,000 (20%)	\$400,000 mortgage (5.5-6.5%)	Short-Term Rental
Property #2	\$500,000	Cash: \$100,000 (20%)	\$400,000 mortgage (5.5-6.5%)	STR or Long-Term Rental
TOTAL	\$1,000,000	\$200,000	\$800,000	

Remaining Capital Allocation (\$250K+ Liquid)

USE	AMOUNT	PURPOSE
STR Setup & Renovations	\$40,000	Furniture, appliances, systems for both properties (\$20K each)
Cost Segregation Studies	\$15,000	Professional engineering studies for both properties (\$7,500 each)
Property Reserve Fund	\$30,000	Vacancy coverage, maintenance, unexpected repairs

USE	AMOUNT	PURPOSE
Bitcoin DCA	\$50,000	Continue wealth building via Bitcoin accumulation
Cash Buffer	\$15,000	General business/life flexibility

Key Insight: This structure preserves \$150,000+ in liquid capital post-real estate deployment, maintaining financial flexibility while executing your wealth building plan. You're not over-leveraged.

Property Selection Criteria

Target Property Profile for Maximum Tax Benefits

- **Location:** South Florida market (Miami-Dade, Broward, Palm Beach) for proximity and tourism demand
- **Property Type:** 2-4 bedroom single-family or condo near beach/attractions (strong STR demand)
- **Price Range:** \$450,000-\$550,000 (sweet spot for financing and cash flow)
- **Condition:** Turnkey or light renovation (operational within 60 days)
- **STR Zoning:** Verify city/county allows short-term rentals before purchase
- **Revenue Potential:** Target \$4,000-\$6,000/month gross STR income (80%+ occupancy)

First-Year Financial Projections (Per Property)

CATEGORY	CONSERVATIVE	MODERATE	NOTES
Gross STR Income	\$45,000	\$60,000	Based on \$150-\$200/night, 60-75% occupancy
Operating Expenses	(\$22,000)	(\$24,000)	Utilities, insurance, supplies, cleaning, management

CATEGORY	CONSERVATIVE	MODERATE	NOTES
Mortgage Payment	(\$28,000)	(\$28,000)	\$400K at 6% = \$2,400/month × 12
Cost Segregation	(\$100,000)	(\$120,000)	Accelerated depreciation, tax deduction only
Tax Loss (Year 1)	(\$105,000)	(\$112,000)	Offsets W-2 income with material participation
Tax Savings (32%)	\$33,600	\$35,840	Actual cash benefit from offsetting W-2 income
Cash Flow (Pre-Tax)	-\$5,000	+\$8,000	Before tax savings; negative is okay with tax benefit
Net Benefit (Cash Flow + Tax Savings)	+\$28,600	+\$43,840	True economic benefit combining cash and tax

Critical Understanding: Short-term rentals are typically cash flow neutral or slightly negative in Year 1 due to setup costs and ramp-up period. The true value is the massive tax deduction (\$100K+ per property) that offsets your high W-2 income. A \$5,000 cash flow loss with \$33,600 in tax savings = \$28,600 net economic gain. By Year 2-3, as depreciation normalizes and operations stabilize, properties move to positive cash flow while still providing tax benefits.

Material Participation Documentation

To qualify for the STR loophole (losses offsetting W-2 income), you must document material participation. Here's your evidence-building system:

ACTIVITY TYPE	WEEKLY HOURS	DOCUMENTATION METHOD
Guest Communications	3-4 hours	Email timestamps, Airbnb message logs, response time records

ACTIVITY TYPE	WEEKLY HOURS	DOCUMENTATION METHOD
Property Maintenance/Inspections	2-3 hours	Visit logs with photos, maintenance checklist, mileage tracking
Booking Management	2-3 hours	Pricing adjustments, calendar management, platform screenshots
Marketing & Listing Optimization	1-2 hours	Time log for photo updates, description revisions, review responses
Financial Management	1-2 hours	Bookkeeping, expense tracking, vendor payments
TOTAL	9-14 hours/week	520-730 annual hours (exceeds 100 requirement)

Implementation: Use time-tracking app (Toggl, Clockify) from day one. Export quarterly reports. Combine with calendar entries, emails, and receipts for audit-proof documentation.

Entity Structure for Real Estate Holdings

Recommended Structure: Henri's Florida LLC

- **Entity Type:** Florida Limited Liability Company
- **Purpose:** Hold both rental properties, provide liability protection
- **Tax Election:** Single-member LLC (disregarded entity for tax purposes initially)
- **Year 2 Consideration:** If generating management fees or consulting income from real estate activities, consider S-Corp election
- **Benefits:** Liability protection, professional image, separate books for cleaner accounting
- **Setup Cost:** \$125 FL filing fee + \$200 registered agent annual = \$325/year

Bitcoin Wealth Building Strategy

Your preference for 70-80% Bitcoin allocation represents an aggressive long-term wealth building strategy. Here's how to systematically deploy capital into Bitcoin while maintaining tax efficiency and portfolio balance.

Multi-Account Bitcoin Accumulation Strategy

ACCOUNT TYPE	ANNUAL CONTRIBUTION	BITCOIN ALLOCATION	TAX TREATMENT	BENEFIT
Solo 401(k) (Melica)	\$70,000 (if applicable)	\$52,500 (75%)	Tax-deferred	Immediate \$22,400 tax deduction + tax-deferred growth
Backdoor Roth (Both)	\$14,000	\$11,200 (80%)	Tax-free forever	All future gains tax-free, no RMDs
Rollover IRAs	\$350,000 existing	\$262,500 (75%)	Tax-deferred	Self-directed, long-term appreciation
W-4 Cash Flow	\$8,500	\$8,500 (100%)	Taxable (but DCA)	Monthly buying, cost basis averaging
Tax Refund Deploy	\$40,000-\$60,000 (est 2027)	\$32,000-\$48,000 (80%)	Taxable	Lump sum deployment of tax savings
Deployment Capital	\$50,000 (from liquid)	\$50,000 (100%)	Taxable	Initial position building
YEAR 1 TOTAL	\$532,500+	\$416,700+ BTC		Multi-account diversification

Dollar-Cost Averaging Schedule

Systematic monthly Bitcoin purchases from W-4 optimization cash flow:

Monthly DCA Plan

- **Amount:** \$708/month from W-4 optimization
- **Frequency:** Every payday (bi-weekly if paid bi-weekly, or monthly)
- **Platform:** Strike, Swan Bitcoin, River Financial, or Cash App (low fees for DCA)
- **Annual Total:** \$8,496 invested across 12-26 purchases
- **Strategy:** Never try to time the market; consistent buying smooths volatility
- **Storage:** Hardware wallet (Ledger, Trezor) once balance exceeds \$10,000

Portfolio Rebalancing Framework

With 70-80% Bitcoin allocation, you need a rebalancing discipline to maintain targets without emotional decisions:

PORTFOLIO % IN BITCOIN	ACTION	FREQUENCY
Below 65%	Buy Bitcoin (using new contributions only)	Quarterly review
65-85%	Maintain (no action needed)	Stay the course
Above 85%	Trim to 80% (deploy gains to bonds/cash)	Annual review

Tax Consideration: Rebalancing in taxable accounts triggers capital gains tax. Minimize by rebalancing primarily within tax-advantaged accounts (401k, IRA) where trades are tax-free. In taxable accounts, use new contributions to rebalance rather than selling appreciated positions.

Long-Term Bitcoin Accumulation Model

Projecting your Bitcoin holdings growth over 5 years with consistent accumulation:

YEAR	ANNUAL BTC PURCHASES	CUMULATIVE INVESTED	VALUE AT 15% ANNUAL GROWTH
2026	\$70,000	\$70,000	\$80,500
2027	\$90,000	\$160,000	\$196,075
2028	\$90,000	\$250,000	\$328,786
2029	\$90,000	\$340,000	\$481,704
2030	\$90,000	\$430,000	\$657,460
5-YEAR		\$430,000 invested	\$657,460 value

Note: 15% annual growth is conservative for Bitcoin historically but maintains realistic expectations. Actual performance will vary significantly. This model excludes the \$350K+ already allocated to Bitcoin in retirement accounts.

2026 Implementation Timeline

Month-by-month execution plan with specific action items and deadlines. This timeline coordinates all 12 tax strategies, real estate acquisition, and wealth building activities for maximum efficiency.

JANUARY 2026 - Foundation Setup

- ✓ **Week 1:** Submit new W-4 to Henri's employer (free up \$708/month cash flow)
- ✓ **Week 1:** Set up automatic Bitcoin purchase \$708/month via Strike or Swan
- ✓ **Week 1:** Execute Backdoor Roth IRA contributions: \$7,000 each to Traditional IRA, convert to Roth
- ✓ **Week 2:** Confirm HDHP enrollment, open HSA account, set up \$712/month contributions
- ✓ **Week 2:** Optimize home office documentation (photos, measurements, expense tracking)
- ✓ **Week 3:** Choose SDIRA custodian, open accounts, initiate 401(k) rollovers (\$100K SDIRA, \$350K consolidation)
- ✓ **Week 4:** If Melica's LLC is active: Set up accountable plan, draft policy document
- ✓ **Week 4:** Create written rental agreements for Augusta Rule strategy

FEBRUARY 2026 - Entity & Financing Prep

- ✓ **Week 1:** Form Henri's Florida LLC for rental management (file online, obtain EIN)

- ✓ **Week 2:** If applicable: Determine if Melica's LLC qualifies for S-Corp election (need \$60K+ profit projection)
- ✓ **Week 2:** If yes to S-Corp: Prepare payroll system (Gusto setup), calculate reasonable salary
- ✓ **Week 3:** Pre-qualify for investment property mortgages (2 properties, conventional financing)
- ✓ **Week 3:** Verify SDIRA rollover complete, confirm \$100K available for real estate down payment
- ✓ **Week 4:** Begin real estate market research (South Florida properties in \$450K-\$550K range)
- ✓ **Week 4:** Identify cost segregation firms for later engagement (Engineered Tax Services, Cost Seg America)

MARCH 2026 - S-Corp Election & Property Search

- ✓ **CRITICAL: March 15 deadline** - File Form 2553 for S-Corp election (if Melica's LLC qualifies)
- ✓ **Week 1-4:** Active property search phase (tour 10-15 potential rental properties)
- ✓ **Week 2:** Verify STR zoning/regulations for target properties (Miami-Dade, Broward county rules)
- ✓ **Week 3:** Analyze property cash flow projections (mortgage, expenses, STR income estimates)
- ✓ **Week 4:** Submit offers on 1-2 properties with inspection contingencies

APRIL 2026 - Property Due Diligence

- ✓ **Week 1-2:** Complete property inspections, review disclosures, finalize

Property #1 selection

- ✓ **Week 2:** Execute purchase agreement for Property #1 (SDIRA as buyer)
- ✓ **Week 3:** Finalize mortgage approval (verify SDIRA-friendly lender for Property #1)
- ✓ **Week 3-4:** Begin property insurance shopping (landlord policy + umbrella coverage)
- ✓ **Week 4:** If solo 401k applicable: Make Q1 employee deferral contribution (\$5,875 of \$23,500 annual)
- ✓ **Week 4:** Execute first Augusta Rule meeting (Melica's LLC rents home for strategic planning session)

MAY 2026 - Property #1 Acquisition

- ✓ **Week 1-2:** Close on Property #1 (SDIRA provides \$100K down payment, \$400K mortgage)
- ✓ **Week 2:** Order cost segregation study immediately post-closing (Engineered Tax Services)
- ✓ **Week 2-3:** Begin STR setup: furniture, appliances, decor, systems (budget \$20,000)
- ✓ **Week 3:** Set up Airbnb/VRBO listings, professional photography, listing optimization
- ✓ **Week 4:** Launch Property #1 on STR platforms, begin accepting bookings
- ✓ **Week 4:** Start material participation time tracking (Toggl app or spreadsheet)

JUNE 2026 - Property #1 Operations & Property #2 Search

- ✓ **Week 1-4:** Operate Property #1, refine pricing, optimize occupancy

- ✓ **Week 1-4:** Document all material participation activities weekly (guest communications, maintenance, management)
- ✓ **Week 2-4:** Resume property search for Property #2 (now with operational experience)
- ✓ **Week 3:** Review Q2 tax withholding, adjust if needed based on YTD income and deductions
- ✓ **Week 4:** Execute second Augusta Rule meeting (Henri's rental LLC or Melica's LLC)

JULY-AUGUST 2026 - Property #2 Acquisition

- ✓ **July Week 1-2:** Submit offer on Property #2 (personal ownership or Henri's LLC)
- ✓ **July Week 3-4:** Complete due diligence, inspections, appraisal for Property #2
- ✓ **August Week 1-2:** Close on Property #2 (cash down payment \$100K from liquid reserves)
- ✓ **August Week 2:** Order second cost segregation study immediately
- ✓ **August Week 2-4:** Property #2 STR setup: furniture, systems, listing creation
- ✓ **August Week 4:** Launch Property #2 on STR platforms

SEPTEMBER 2026 - Operational Optimization

- ✓ **Week 1-4:** Operate both properties, cross-optimize learnings
- ✓ **Week 2:** Review cost segregation study for Property #1 (should be complete)

- ✓ **Week 3:** Quarterly accounting review (P&L for each property, combined tax position)
- ✓ **Week 4:** Calculate YTD material participation hours (target 75+ hours by end of Q3)
- ✓ **Week 4:** Execute third Augusta Rule meeting

OCTOBER-NOVEMBER 2026 - Tax Planning & Year-End Optimization

- ✓ **October Week 1:** Review cost segregation study for Property #2
- ✓ **October Week 2-3:** Meet with CPA for year-end tax planning session
- ✓ **October Week 3:** Project final 2026 taxable income and compare to \$364K threshold (22% bracket goal)
- ✓ **November Week 1-2:** Make any final tax moves (additional equipment purchases, prepaying expenses)
- ✓ **November Week 3:** Verify HSA on track for \$8,550 max ($\$712/\text{month} \times 12$)
- ✓ **November Week 4:** Calculate total material participation hours (should exceed 100 by now)
- ✓ **November Week 4:** Execute fourth Augusta Rule meeting

DECEMBER 2026 - Final Quarter & 2027 Planning

- ✓ **Week 1:** Review full-year performance (rental income, tax position, net worth growth)
- ✓ **Week 2:** Max out any remaining Solo 401(k) employee deferrals (deadline 12/31/26)
- ✓ **Week 3:** Organize all tax documents for 2026 return preparation

- ✓ **Week 4:** Meet with CPA to review 2026 projections and plan 2027 strategies
- ✓ **Week 4:** Assess whether to add third property in 2027 or optimize existing two

Key Deadline Reminders

- **January 31, 2026:** Backdoor Roth contributions (can be done until April 15, 2027 but do early)
 - **March 15, 2026:** S-Corp election Form 2553 (CRITICAL if applicable)
 - **December 31, 2026:** Properties must close to capture full-year depreciation
 - **December 31, 2026:** Solo 401(k) employee deferrals
 - **April 15, 2027:** HSA contributions for 2026, Solo 401(k) employer contributions
-

Comprehensive First-Year Financial Impact

This table consolidates all financial benefits from the 12 strategies, showing the complete first-year value you receive from this wealth plan. Numbers reflect conservative to moderate scenarios.

CATEGORY	CONSERVATIVE SCENARIO	MODERATE SCENARIO
TAX SAVINGS (IMMEDIATE CASH BENEFIT)		
HSA Family Max (\$8,550 × 32%)	\$2,656	\$2,736
Home Office Deduction (\$5,000 × 32%)	\$1,600	\$1,600
Augusta Rule (14 days × \$350-\$500 × 32%)	\$2,240	\$2,800
Solo 401(k) Max - Melica (\$70,000 × 32%)	\$0 (if not applicable)	\$22,400
S-Corporation Election (SE tax savings)	\$0 (if not applicable)	\$8,000
Accountable Plan (\$3,000 × 32%)	\$0 (if not applicable)	\$960
Property #1 Cost Segregation (\$100K × 32%)	\$32,000	\$35,000
Property #1 STR Losses (\$40K × 32%)	\$12,800	\$14,000
Property #2 Cost Segregation (\$80K × 32%)	\$0 (if 1 property only)	\$25,600

CATEGORY	CONSERVATIVE SCENARIO	MODERATE SCENARIO
Property #2 STR Losses (\$20K × 32%)	\$0 (if 1 property only)	\$6,400
Bonus Depreciation Strategies	\$1,600	\$5,100
SUBTOTAL: TAX SAVINGS	\$52,896	\$124,596
CASH FLOW IMPROVEMENTS		
W-4 Optimization (monthly paycheck increase)	+\$8,500	+\$8,500
Rental Income (net after expenses, before tax benefit)	-\$5,000	+\$8,000
SUBTOTAL: CASH FLOW	+\$3,500	+\$16,500
WEALTH BUILDING (TAX-ADVANTAGED GROWTH)		
Backdoor Roth IRA (tax-free growth on \$14K)	+\$14,000 invested	+\$14,000 invested
Solo 401(k) Contributions (tax-deferred growth)	\$0 (if not applicable)	+\$70,000 invested
HSA Invested Balance (triple tax advantage)	+\$8,550 invested	+\$8,550 invested
Real Estate Equity Building (principal paydown Year 1)	+\$8,000	+\$16,000
Real Estate Appreciation (conservative 3% on \$500K-\$1M)	+\$15,000	+\$30,000
Bitcoin DCA from W-4 (monthly \$708 × 12)	+\$8,500 invested	+\$8,500 invested

CATEGORY	CONSERVATIVE SCENARIO	MODERATE SCENARIO
SUBTOTAL: WEALTH BUILDING	+\$54,050	+\$147,050
DEBT ELIMINATION / NET WORTH IMPROVEMENT		
Mortgage Principal Reduction (rental properties)	+\$8,000	+\$16,000
Net Worth Increase (appreciation + equity - costs)	+\$18,000	+\$40,000
SUBTOTAL: NET WORTH GROWTH	+\$26,000	+\$56,000
TOTAL FIRST-YEAR FINANCIAL IMPACT	\$136,446	\$344,146

Note: Conservative scenario assumes 1 rental property and no Melica LLC income. Moderate scenario assumes 2 properties and Melica LLC generating \$70K+ profit. Both scenarios exclude long-term Bitcoin appreciation which could add significantly to wealth building over time.

Understanding Your True Financial Benefit

Many clients focus only on "tax savings" but miss the complete picture. Your true first-year benefit combines immediate tax savings (\$52,900-\$124,600), improved cash flow (+\$3,500-\$16,500), wealth building through tax-advantaged accounts (+\$54,000-\$147,000), and net worth growth from real estate equity and appreciation (+\$26,000-\$56,000).

The conservative scenario delivers \$136,446 in total benefit even with just one property and no business income optimization. The moderate scenario, implementing all strategies across two properties with Melica's business active,

delivers \$344,146 in combined value. This is why comprehensive wealth planning beats isolated tax strategies.

Future Strategy Considerations (Years 2-3)

Once your 2026 foundation is established, these advanced strategies become available to further accelerate wealth building and tax optimization.

STRATEGY	ESTIMATED ANNUAL VALUE	BEST TIMING	REQUIREMENTS
QBI Optimization	\$4,800 - \$12,800	2027+	If Melica has S-Corp, optimize W-2 vs distribution split to maximize 20% QBI deduction
Third Rental Property	\$32,000 - \$80,000	2027-2028	Available capital, proven STR management capability
Real Estate Professional Status	\$25,000 - \$100,000+	2027+ (if desired)	750+ hours in real estate, >50% of personal services. Unlocks unlimited passive loss deductions
1031 Exchange	Defer gains indefinitely	When selling property	Must identify replacement within 45 days, close within 180 days
Roth Conversion Ladder	Long-term \$50K-\$100K+	2027-2030	Years when taxable income <\$364K (22% bracket). Convert \$50K-\$100K annually

STRATEGY	ESTIMATED ANNUAL VALUE	BEST TIMING	REQUIREMENTS
Donor-Advised Fund	\$3,000 - \$15,000	If charitable intent	Bunch multiple years of charitable giving, immediate deduction, distribute over time
Commercial Real Estate	\$100,000 - \$500,000+	2028+ (advanced)	Larger capital base, experience with residential, higher complexity but larger depreciation
Multiple Entity Optimization	\$10,000 - \$150,000	If multiple businesses	Coordinate income splitting, management fees, IP licensing between entities

2027 Planning Considerations

Key Decision Points for Year 2:

- **Real Estate Expansion:** Add third property or optimize existing two properties for maximum NOI?
- **Business Growth:** If Melica's coaching business is scaling, consider hiring, expanding services, or launching digital products
- **Roth Conversions:** If 2027 is lower income year, begin systematic Roth conversion ladder
- **REP Status:** Do you want to commit 750+ hours to real estate to unlock unlimited passive loss deductions?

- **Bitcoin Position:** At what portfolio % do you start systematically rebalancing gains?
-

Your 2026 Action Checklist

Print this page and check off items as you complete them. This is your roadmap from plan to execution.

IMMEDIATE (Week 1-2 of January 2026)

- ✓ Submit new W-4 to Henri's employer (start \$708/month cash flow improvement)
- ✓ Execute Backdoor Roth IRA for both spouses (\$14,000 total)
- ✓ Set up automatic Bitcoin purchase (\$708/month)
- ✓ Confirm HDHP enrollment and open HSA account
- ✓ Set up HSA automatic contributions (\$712/month)
- ✓ Document home office space (photos, measurements)

HIGH PRIORITY (Within 30 Days)

- ✓ Choose SDIRA custodian and initiate 401(k) rollovers
- ✓ If Melica's LLC is active: Confirm 2026 revenue projection and Solo 401(k) eligibility
- ✓ Create accountable plan document (if applicable)
- ✓ Draft Augusta Rule rental agreements
- ✓ Form Henri's Florida LLC for rental properties
- ✓ Pre-qualify for investment property mortgages

MEDIUM PRIORITY (Within 90 Days)

- ✓ CRITICAL: File Form 2553 by March 15 (S-Corp election if applicable)
- ✓ Begin active property search in South Florida
- ✓ Verify STR regulations in target cities
- ✓ Research cost segregation firms
- ✓ Set up time tracking system for material participation
- ✓ Schedule CPA meeting to review plan implementation

ONGOING (Throughout 2026)

- ✓ Document material participation hours weekly
- ✓ Execute Augusta Rule meetings quarterly
- ✓ Process accountable plan reimbursements monthly
- ✓ Review property performance and optimize pricing
- ✓ Track all business expenses with receipts
- ✓ Monitor portfolio allocation and rebalance as needed
- ✓ Meet with CPA quarterly for tax planning updates

You're Ready to Build Wealth

This plan gives you a clear roadmap from where you are today to achieving \$50,000+ in tax savings, building \$200,000+ in new assets, and establishing systems that compound wealth for decades. The difference between success and stagnation is execution.

Start with Week 1 of January 2026. Every day you wait is wealth you're leaving on the table. You have the capital, the knowledge, and now the plan. Execute.